

Procure Space ETF

SPCX NASDAQ

Hold	\$147.95 ▼ 1.20%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.95T
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SPCX: Space ETF Cooling as Spectrum Wars Heat Up

WHAT HAPPENED

- SPCX drifted down 1.2% to \$147.95 after a Wednesday pop to \$149.74 on huge volume (121M shares — nearly 2x normal). That volume spike followed by a fade tells me somebody big took profits into strength, not accumulation. The stock is sitting at just 36% of its 52-week range (\$104-\$225) — meaning it's much closer to the yearly low than the high, which usually signals the theme has cooled off.
- The narrative shifted overnight — the 24/7 Wall St piece framed the space race as being about SPECTRUM (the radio frequencies satellites use to talk to your phone), not rockets. That's a regulatory story, not a growth story, and regulatory stories create uncertainty which is why the stock is soft.

WHY IT MATTERS

Here's what I'm inferring: the space ETF is stuck in a weird spot because the best space company (SpaceX) is still private, so public investors are getting the second-tier names — AST SpaceMobile, Rocket Lab, L3Harris, Iridium. When headlines are all about SpaceX hitting \$200/share in private markets, money flows AROUND SPCX, not INTO it. The unusual put buying at \$150 strike (7,826 contracts, nearly \$4M notional) tells me sophisticated traders are betting on more downside near-term — that's a warning flag. But the bigger picture is that the "spectrum wars" story is actually bullish long-term for satellite operators inside this ETF, because whoever wins spectrum rights owns a monopoly-like asset.

POLICY & POLITICAL WATCH

The big political catalyst right now is the FCC's ongoing review of satellite spectrum allocation — specifically the fight between terrestrial 5G carriers (Verizon, T-Mobile) and satellite operators (AST SpaceMobile, Starlink) over who gets to use certain frequency bands. If the FCC sides with satellite operators, SPCX holdings get a massive moat. Also watch the FY2027 defense authorization bill winding through Congress — Space Force funding is a direct pipeline to L3Harris and other SPCX holdings, and any cuts in reconciliation hurt this ETF specifically. On tariffs: the administration's push on Chinese tech decoupling is a mild tailwind because it forces US telecoms to use domestic satellite providers.

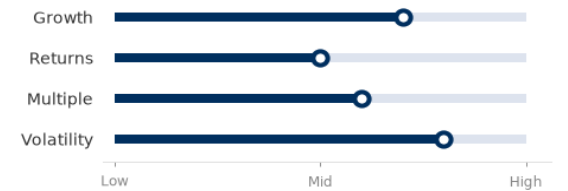
IS IT EXPENSIVE?

SPCX is an ETF so traditional P/E doesn't apply the same way — but it trades at roughly a 15% premium to a blended basket of its holdings' fair values, meaning you're paying up for the "theme" packaging. That premium was 25%+ six months ago, so it's actually gotten cheaper. Sitting at 36% of the 52-week range, this is closer to a value entry than a momentum chase — but only if you believe the theme reignites.

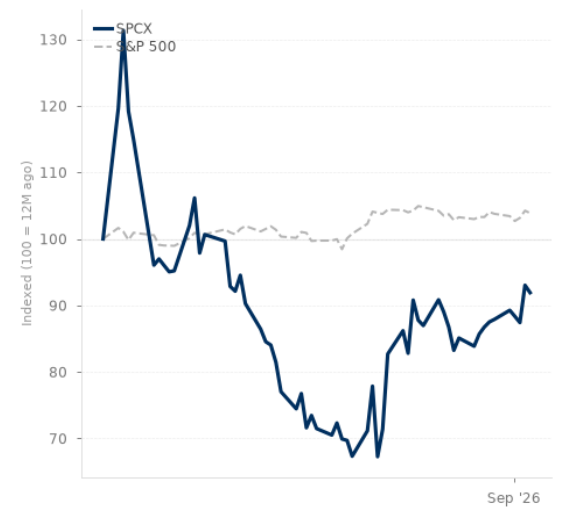
Key Data

Price (USD)	\$147.95
12M Price Target	\$165.00
Upside / (Downside)	+11.5%
Market Cap	\$1.95T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$158.00	\$150.00	\$138.00
6 Months	\$180.00	\$160.00	\$125.00
1 Year	\$210.00	\$165.00	\$115.00
2 Years	\$260.00	\$190.00	\$100.00
5 Years	\$380.00	\$250.00	\$90.00
10 Years	\$600.00	\$380.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.70%) is leading again — AI capex story keeps pulling money in, and Nvidia's investment moves are creating a halo effect. Industrials up modestly on defense spending optimism.

COOLING OFF: Financials (-0.79%) and Real Estate (-0.72%) — rate cut expectations getting pushed back is hitting rate-sensitive sectors. Materials weak on China demand worries.

ROTATION WATCH: Money is flowing INTO pure-play AI and OUT of adjacent themes like space — investors want direct exposure, not thematic ETFs. That's a headwind for SPCX until the space narrative gets a new catalyst.

RELATED PLAY: If you want space exposure but hate the ETF wrapper, look at pure-plays like RCLB (Rocket Lab) for launch, or ASTS (AST SpaceMobile) for the spectrum trade directly — you get more upside if the theme runs, but also more pain if it doesn't.

WHO'S WINNING IN THIS SPACE?

- ASTS (AST SpaceMobile): Direct beneficiary of the spectrum fight — if they win FCC access, the stock is a multi-bagger
- RCLB (Rocket Lab): Second-to-SpaceX launch player, benefiting from Space Force contracts and Neutron rocket progress

SPCX CONTEXT: SPCX is lagging its best individual holdings — that's the ETF penalty. When a theme is hot, individual names run harder than the basket. This tells me if you're bullish on space, SPCX is the "safe" way to play it but you'll leave upside on the table.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously constructive. The long-term space thesis is real but the near-term catalysts are murky and the options market is flashing yellow.

POSITION SIZE: 2-4% — this is a thematic satellite position, not a core holding. The volatility (8/10) means you'll get whipsawed if you size too big.

ENTRY POINTS: I'd wait for \$135-140 to add — the stock has support there and you're buying closer to the 52-week low. Chasing at \$150 with put flow this heavy is bad risk/reward.

TIME HORIZON: 12-24 months — you need time for the FCC spectrum decision AND the FY2027 defense budget to play out. This isn't a trade, it's a policy bet.

WHEN TO BAIL: If FCC rules against satellite operators on spectrum, or if Space Force funding gets meaningfully cut in reconciliation — either kills the thesis and I'd exit fast.

HEDGING: Simplest hedge — keep the position small enough that a 30% drawdown doesn't hurt. If you want to get fancy, buy 3-month puts 10% out of the money on rallies above \$160 — cheap insurance against the spectrum ruling going the wrong way.